## Figure A3. St. Lucia: Public Sector Debt Sustainability Analysis (DSA) – Baseline Scenario

(In percent of GDP, fiscal-year basis, unless otherwise indicated)

**Debt, Economic and Market Indicators** [1/]

| | Actual | | | Projections | | | | | |
|---|---|---|---|---|---|---|---|---|---|
| | 2007-2015 [2/] | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 |
| Nominal gross public debt | 61.2 | 69.2 | 70.7 | 72.2 | 74.6 | 75.5 | 77.2 | 79.2 | 81.3 |
| Public gross financing needs | 17.0 | 19.2 | 23.7 | 20.8 | 25.4 | 20.9 | 21.7 | 20.4 | 18.8 |
| Real GDP growth (in percent) | 1.2 | 3.3 | 3.1 | 3.5 | 3.5 | 2.9 | 2.0 | 1.5 | 1.5 |
| Inflation (GDP deflator, in percent) | 2.6 | -1.6 | 0.1 | 1.3 | 1.6 | 1.5 | 1.5 | 1.5 | 1.6 |
| Nominal GDP growth (in percent) | 3.8 | 1.6 | 3.2 | 4.9 | 5.1 | 4.4 | 3.5 | 3.1 | 3.1 |
| Effective interest rate (in percent) [4/] | 5.2 | 5.3 | 5.1 | 5.0 | 4.9 | 5.2 | 5.5 | 5.7 | 5.8 |

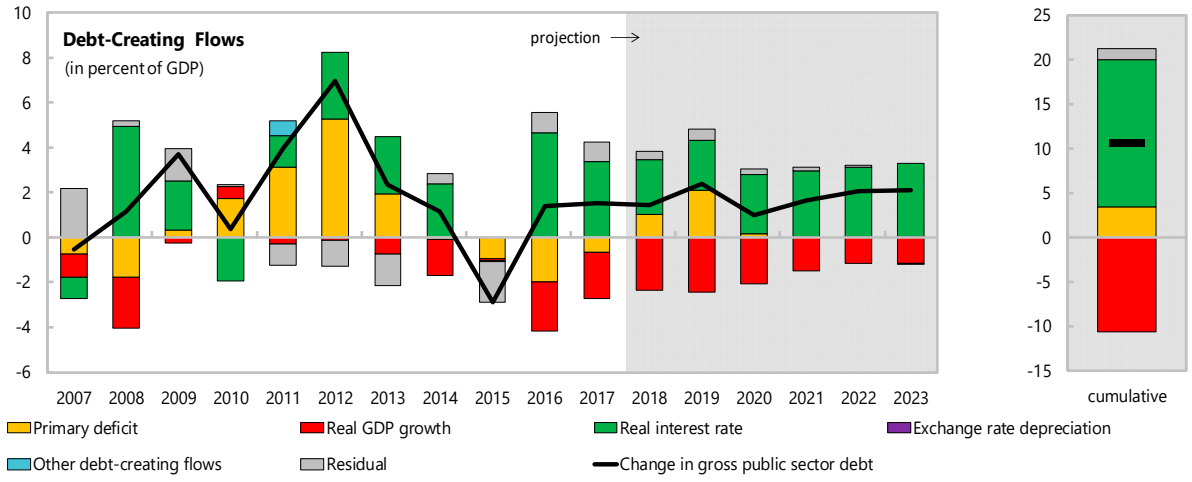
**As of February 28, 2018**

| | |
|---|---|
| Sovereign Spreads | |
| EMBIG (bp) 3/ | 311 |
| 5Y CDS (bp) | 237 |

| Ratings | Foreign | Local |
|---|---|---|
| Moody's | n.a. | n.a. |
| S&Ps | n.a. | n.a. |
| Fitch | n.a. | n.a. |

**Contribution to Changes in Public Debt**

| | Actual | | | Projections | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | 2007-2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | cumulative | debt-stabilizing primary balance [9/] |
| Change in gross public sector debt | 1.8 | 1.4 | 1.5 | 1.4 | 2.4 | 1.0 | 1.6 | 2.0 | 2.1 | 10.6 | 2.1 |
| Identified debt-creating flows | 2.8 | 0.5 | 0.7 | 1.1 | 1.9 | 0.8 | 1.5 | 2.0 | 2.1 | 9.4 | |
| Primary deficit | 1.0 | -2.0 | -0.6 | 1.0 | 2.1 | 0.2 | 0.1 | 0.0 | 0.1 | 3.5 | |
| Primary (noninterest) revenue and grants | 23.2 | 24.4 | 24.3 | 24.9 | 24.8 | 24.8 | 25.0 | 25.0 | 25.0 | 149.4 | |
| Primary (noninterest) expenditure | 24.2 | 22.4 | 23.6 | 25.9 | 26.9 | 25.0 | 25.0 | 25.0 | 25.0 | 152.9 | |
| Automatic debt dynamics [5/] | 0.8 | 2.5 | 1.3 | 0.1 | -0.2 | 0.6 | 1.4 | 1.9 | 2.1 | 5.9 | |
| Interest rate/growth differential [6/] | 0.8 | 2.5 | 1.3 | 0.1 | -0.2 | 0.6 | 1.4 | 1.9 | 2.1 | 5.9 | |
| Of which: real interest rate | 1.2 | 4.6 | 3.4 | 2.5 | 2.2 | 2.6 | 2.9 | 3.1 | 3.2 | 16.6 | |
| Of which: real GDP growth | -0.6 | -2.2 | -2.1 | -2.4 | -2.4 | -2.1 | -1.5 | -1.2 | -1.2 | -10.6 | |
| Exchange rate depreciation [7/] | 0.0 | 0.0 | 0.0 | ... | ... | ... | ... | ... | ... | ... | |
| Other identified debt-creating flows | 0.1 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | |
| Government and Public Sector Finance, Revenu | 0.1 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | |
| Contingent liabilities | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | |
| Residual, including asset changes [8/] | -0.8 | 0.9 | 0.8 | 0.4 | 0.5 | 0.2 | 0.1 | 0.1 | 0.0 | 1.2 | |




Source: IMF staff.

1/ Public sector is defined as central government and includes public guarantees, defined as .

2/ Based on available data.

3/ EMBIG.

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as [(r - π(1+g) - g + ae(1+r)]/(1+g+π+gπ)) times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

8/ Includes changes in the stock of guarantees, asset changes, and interest revenues (if any). For projections, includes exchange rate changes during the projection period.

9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.



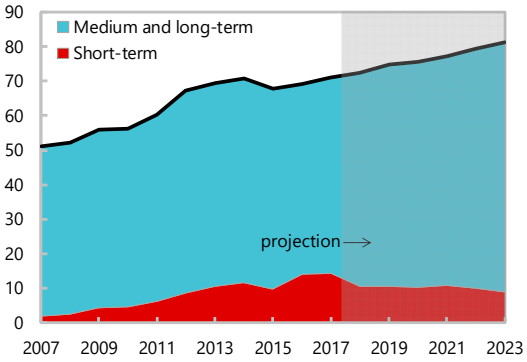
©International Monetary Fund. Not for Redistribution

## Figure A4. St. Lucia: Public DSA-Composition of Public Debt and Alternative Scenarios

### Composition of Public Debt

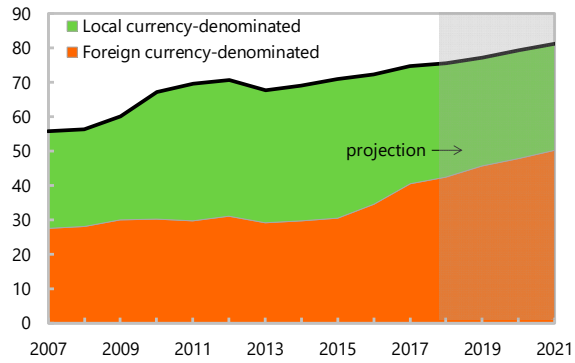
**By Maturity**

(in percent of GDP)




**By Currency**

(in percent of GDP)

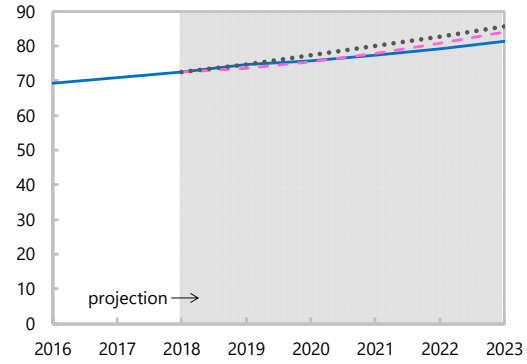






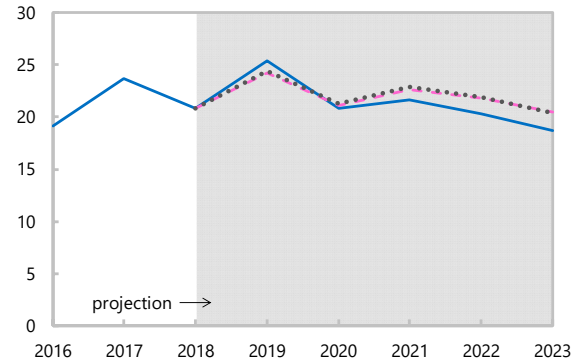
**Gross Nominal Public Debt**

(in percent of GDP)




**Public Gross Financing Needs**

(in percent of GDP)




### Underlying Assumptions

(in percent)

| Baseline Scenario | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 |
|---|---|---|---|---|---|---|
| Real GDP growth | 3.5 | 3.5 | 2.9 | 2.0 | 1.5 | 1.5 |
| Inflation | 1.3 | 1.6 | 1.5 | 1.5 | 1.5 | 1.6 |
| Primary Balance | -1.0 | -2.1 | -0.2 | -0.1 | 0.0 | -0.1 |
| Effective interest rate | 5.0 | 4.9 | 5.2 | 5.5 | 5.6 | 5.8 |
| **Constant Primary Balance Scenario** | | | | | | |
| Real GDP growth | 3.5 | 3.5 | 2.9 | 2.0 | 1.5 | 1.5 |
| Inflation | 1.3 | 1.6 | 1.5 | 1.5 | 1.5 | 1.6 |
| Primary Balance | -1.0 | -1.0 | -1.0 | -1.0 | -1.0 | -1.0 |
| Effective interest rate | 5.0 | 4.9 | 5.2 | 5.5 | 5.6 | 5.8 |

| Historical Scenario | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 |
|---|---|---|---|---|---|---|
| Real GDP growth | 3.5 | 1.5 | 1.5 | 1.5 | 1.5 | 1.5 |
| Inflation | 1.3 | 1.6 | 1.5 | 1.5 | 1.5 | 1.6 |
| Primary Balance | -1.0 | -0.7 | -0.7 | -0.7 | -0.7 | -0.7 |
| Effective interest rate | 5.0 | 4.9 | 5.2 | 5.5 | 5.6 | 5.8 |

Source: IMF staff.



©International Monetary Fund. Not for Redistribution